Theory of Demand and Supply

1. Law of Demand Examples:
   - If a cinema hall reduces ticket prices, more people attend the movie.
   - When the price of a popular smartphone drops due to a discount, demand increases.
2. Exceptions to the Law of Demand (with Reasons) Examples:

   a. Giffen Goods (Inferior Goods with No Close Substitutes)
   - Example: If the price of grains (like bajra) rises, low-income groups may buy more because they can't afford better substitutes like wheat.
   - Reason: Higher price forces people to spend more on essentials, reducing their ability to buy substitutes.

   b. Veblen Goods (Prestige or Luxury Goods)
   - Example: A rise in the price of Rolex watches makes them more desirable among the wealthy, increasing demand.
   - Reason: Higher prices signal exclusivity and status.

   c. Future Price Expectations
   - Example: If consumers expect gold prices to rise in the future, they buy more even if prices are already high.
   - Reason: Fear of higher future prices makes people buy now.

   d. Necessities (Goods with Inelastic Demand)
   - Example: Medicines like insulin are bought in the same quantity, regardless of price changes.
   - Reason: Life-essential goods have no substitutes, so demand remains constant.
3. Interpretation of the Numerical Values of Elasticity of Demand:

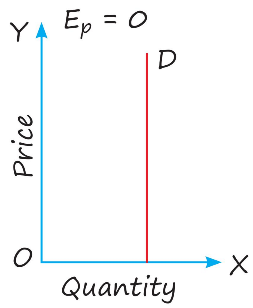
   a. Perfectly Inelastic Demand ($E_p = 0$)
   - Example: A diabetic patient will buy the same quantity of insulin, no matter how much the price increases.

   b. Unitary Elastic Demand ($E_p = 1$)
   - Example: If a coffee shop raises prices by 10% and experiences exactly a 10% drop in coffee sales.

   c. Perfectly Elastic Demand ($E_p = \infty$)
   - Example: A street vendor selling bottled water at ₹20, if he increases the price to ₹21, customers will switch to another vendor selling at ₹20.

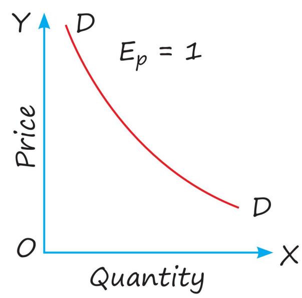
   d. Elastic Demand ($E_p > 1$)
   - Example: If the price of movie tickets decreases by 10% and ticket sales increase by 30%.

   e. Inelastic Demand ($E_p < 1$)
   - Example: If petrol prices rise by 20%, demand might fall by only 5% because people still need to drive.



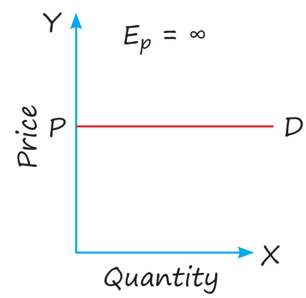
Demand curve of zero elasticity

Figure: 3.a



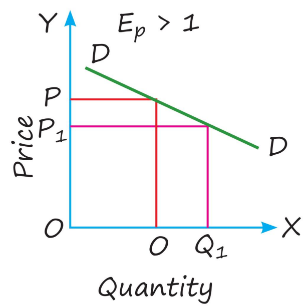
Demand curve of unitary elasticity

Figure: 3.b



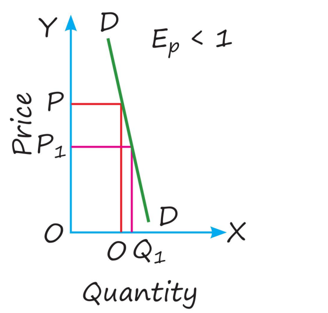
Demand curve of infinite elasticity

Figure: 3.c



Demand curve of elasticity greater than one

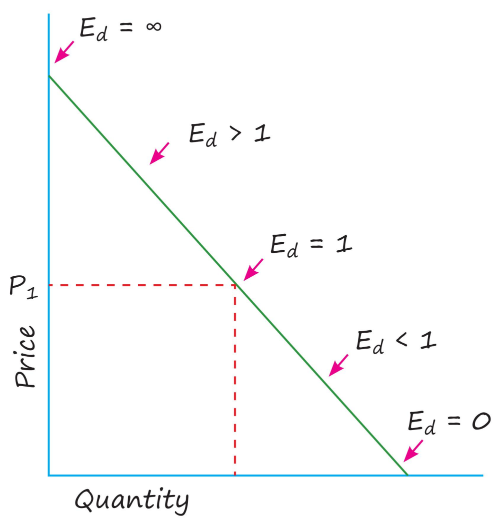
Figure: 3.d



Demand curve of elasticity less than one

Figure: 3.e

4. Measurement of Elasticity on a Linear Demand Curve – Geometric Method:



- The elasticity is high as we move to the upper segment of the demand curve.
- The elasticity becomes smaller as we move down the curve.

5. The Relationship between Price elasticity and Total Revenue (TR):

Demand			
	Elastic	Unitary Elastic	Inelastic
Price increase	TR Decreases	TR remains same	TR Increases
Price decrease	TR Increases	TR remains same	TR Decreases

6. Exceptions to the shape of Indifference Curve:

- **Perfect Substitutes:** Indifference curves are straight lines, not convex.
- **Perfect Complements:** Indifference curves are L-shaped.

7. Consumer Equilibrium under Ordinal Approach:

- **Meaning:** A consumer attains his equilibrium at the point where the budget line is tangent to IC, and this point gives maximum satisfaction to the consumer.
- Condition: $ü_{ü} \; \frac{ü}{ü}$

8. Consumer Equilibrium under the Cardinal Approach:

- The consumer is at equilibrium (one good) where the Marginal Utility of the commodity = Price of the commodity

  or $\frac{ü}{\quad}$ üüüü

- The consumer is said to be in equilibrium (two goods) under the condition

  $\frac{ü}{ü_{ü}} \aleph \frac{ü}{\quad}$ üüüü

9. A Few Examples of Vertical Supply Curve (Perfectly Inelastic Supply):

- Total land area in a country.
- Original artwork (e.g., Mona Lisa) and Antique items (e.g., vintage coins, rare stamps).
- Perishable Goods in the Very Short Run
- Natural Resources (like minerals already extracted).